

The Weekly Digest

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THE WORLD THIS WEEK

Politics

Donald Trump met with Xi Jinping in Beijing, agreeing on "new positioning" for bilateral ties and increased trade cooperation, despite political tensions over Ukraine, the Middle East, and Taiwan. America and Iran again failed to reopen the Strait of Hormuz, with disagreements persisting on uranium enrichment, stockpiles, and nuclear facilities. In Israel, Binyamin Netanyahu's coalition proposed dissolving the Knesset for an early election, fueled by ultra-Orthodox parties' anger over military draft exemptions. South Africa's Cyril Ramaphosa stated he would respect a court verdict to resume impeachment proceedings, while India's Narendra Modi urged fuel conservation and foreign

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exchange savings, raising duties on overseas gold. Pakistan faced militant attacks, Sara Duterte of the Philippines was impeached again, and Kyrgyzstan indicted eight people for conspiring to overthrow the president. Sir Keir Starmer's leadership of Britain's Labour Party faced a severe threat following heavy election defeats and ministerial resignations, as Reform UK gained significant ground.

Business

The International Energy Agency reported a record depletion of global oil inventories due to the Strait of Hormuz closure, with Saudi Aramco confirming critically low levels. The Iran war's disruption to trade routes has boosted Panama Canal revenue by 15%, as more oil and fuel transit it. America's annual inflation rate surged to 3.8% in April, the highest in three years, setting a challenge for incoming Federal Reserve chairman Kevin Warsh. Germany's opposition to UniCredit's takeover of Commerzbank was criticized by

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the ECB, while Britain's government bond yields soared amid speculation about Sir Keir Starmer's political future. Defence startup Anduril's valuation jumped to \$61bn, the head of America's FDA resigned over e-cigarette approval, and General Motors laid off IT staff to focus on AI roles. Lime filed for an IPO, and an adviser to South Korea's president suggested a payout from soaring chipmaker profits, though the president clarified it would be from government revenue. Amazon expanded its 30-minute delivery service to several US cities.

The weekly cartoon

No significant coverage this issue.

LEADERS

Prepare for an AI jobs apocalypse

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The launch of ChatGPT in 2022 has fueled fears of an AI-driven jobs apocalypse, despite current high employment rates. While history suggests technology doesn't usually harm overall labor demand, the rapid advancements in AI models and spending on the technology make it rash to dismiss these fears. Economists warn that even if work remains plentiful, the quality and wages of jobs could decline, potentially leading to wealth concentration among capital owners. Governments should prepare for potential social and political upheaval, as even small job losses from "China shock" previously propelled populism. Inhibiting technology is unwise given AI's potential benefits for wealth and solving global problems, but clever tax reforms on corporate profits, land, and natural resources could capture AI-generated rents. Public wage-insurance and active labor-market policies, like Denmark's, can help workers adjust, but more radical ideas like partial nationalization or "citizens' dividends" from AI firms may be needed to ensure transparent social upside and

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confront rentier power early.

Sir Keir Starmer has failed abjectly. He should go

Sir Keir Starmer's Labour Party suffered a significant defeat in recent local and devolved elections, triggering a revolt within the party and calls for his resignation. The article argues that while Britain faces economic challenges, Starmer's failure stems from a lack of character and an inability to articulate a clear vision or implement bold reforms. His government's modest reforms alarmed voters without significantly impacting the economy, and his authority has waned, leading to a loss of trust among the public and his own MPs. Though jettisoning a prime minister carries risks, the article contends that the risks of Starmer remaining are greater, as he would be forced leftward and governance would suffer. A leadership contest could offer a chance for renewal, bringing forward candidates with the political skill to address Britain's problems and prevent further

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populist insurgency and societal division.

Oil prices could soon rise convulsively

The global oil market appears strangely calm despite the closure of the Strait of Hormuz, which has cut 5% of the world's yearly oil supply. This mini-glut is attributed to surging American crude and refined product exports and reduced Chinese imports due to weaker demand and government decisions to draw on stocks. However, this tranquility is temporary, as global oil stocks are rapidly depleting and could reach critically low levels by June. The article warns of a full-blown energy disaster if the strait remains closed, leading to convulsively rising prices, especially for refined products. A major risk is that Donald Trump might lose nerve and impose an export ban on American oil, which would cause global prices to surge, hurt America's import-reliant coasts, and trigger retaliation from other exporters.

Indonesia, the biggest Muslim-majority

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country, is on a risky path

Indonesia's President Prabowo Subianto is pursuing unaffordable pet projects and eroding democratic institutions, risking a fiscal crisis similar to 1998. He has replaced a respected finance minister with a sycophant and intimidated the business community. His plans for free school meals and village cooperatives are financially unsustainable, especially with rising energy prices threatening to push the budget deficit over its legal 3% cap. Breaching this cap would signal a loss of fiscal discipline and deter investors, who are already pulling capital and weakening the rupiah. Simultaneously, Mr. Prabowo is centralizing power, neutering legislative opposition, and intimidating civil society, resembling the authoritarian rule of his father-in-law, Suharto.

Mothers who cannot breastfeed have been given terrible advice

Mammary glands lack a dedicated medical specialism,

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and scientific research into breastfeeding and milk production has been severely neglected. Despite 130m women giving birth annually and most attempting to breastfeed, two in five encounter problems, often receiving unhelpful advice or being told to switch to formula. The medical community's dismissal of these issues, assuming low milk supply is rare, is contradicted by recent research suggesting 10-20% of mothers struggle with inadequate production. This problem is often linked to complex biological pathways beyond a mother's control, such as genetic factors, obesity, diabetes, or autoimmune disorders, rather than a lack of effort. Medicine's failure to rigorously diagnose and treat these issues makes women feel at fault when they are not, highlighting the urgent need for dedicated "lactology" and further research.

Not all Donald Trump?s peacemaking boasts are empty

Donald Trump claims to have ended the conflict between

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Rwanda and the Democratic Republic of Congo with the Washington Accords, but significant killing persists, and millions remain displaced. M23, a Rwandan-backed rebel group, controls much of eastern Congo and is building a statelet, seeking direct deals with America for critical minerals. While the Trump administration sanctioned Rwanda's armed forces to pressure President Paul Kagame, it has also struck a "strategic partnership" with Congo for mineral access, potentially emboldening its president, Félix Tshisekedi. To achieve lasting peace, America must act as an impartial mediator, pressing both Rwanda to cease M23 support and Congo to fulfill its obligations under the accords, rather than being seen as supporting one side for transactional gains.

LETTERS

Can Gwadar port compete with the port at Jebel Ali?

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A former American undersecretary of state questions the feasibility of Gwadar port in Pakistan replacing Jebel Ali for Iranian-Chinese commerce, citing inadequate infrastructure, limited capacity, and the challenging terrain for land routes. He argues that claims of rerouting trade through Pakistan and moving petroleum by train from Iran to China are unrealistic given geographical and logistical constraints.

BY INVITATION

How Israeli terror begets Palestinian terror

Nimrod Novik argues that Israeli settler violence in the West Bank is radicalizing previously apolitical Palestinians like "Ali," who, after experiencing theft, harassment, and home invasions by armed settlers, is on the verge of becoming a fighter. The systemic violence, often backed by Israeli authorities, is creating a "Wild

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West Bank" and fostering deep fear, despite warnings from Israeli security and diplomatic officials. This unchecked "Jewish terror" undermines Israel's security, moral fabric, and international standing, contributing to a cycle of violence where settler actions create the very "terrorists" they then use to justify further repression.

BRIEFING

Indonesia's president is jeopardising the economy and democracy

Indonesia's President Prabowo Subianto is centralizing power, marginalizing opposition, and implementing lavish, unaffordable populist projects that threaten the country's macroeconomic stability. His spending, including free school meals and agricultural cooperatives, is straining the budget and could push the fiscal deficit past its legal 3% cap, leading to a potential

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credit downgrade and rupiah depreciation. Mr. Prabowo has replaced experienced financial officials with loyalists, increased state-owned enterprise dividends to fund his schemes, and subjected the central bank to "burden sharing" to support his projects, while also increasing the military's role in public life. These actions are seen as an incipient reversal of democratic reforms since 1998, raising fears of instability and authoritarianism.

UNITED STATES

Donald Trump's midterm strategy: purge the Republican Party

Donald Trump's midterm strategy appears focused on purging the Republican Party of disloyal incumbents, rather than presenting a unified message. Senators Bill Cassidy and Thomas Massie face tough primary

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challenges orchestrated by Trump, who seeks revenge for past dissent, such as impeachment votes or opposing his policies. Cassidy has struggled to regain favor, while Massie, a maverick, is fighting against a Trump-endorsed opponent in a highly expensive primary. This internal party warfare risks diverting donor money from crucial swing districts and could undermine Republican efforts to hold Congress, especially if ousted incumbents like Cassidy remove their incentives to cooperate.

Lessons for Democrats from a candidate who sings and shoots

Bobby Pulido, a Latin Grammy-winning singer, is the Democratic nominee for Texas's 15th district, where Donald Trump won by 18 points in 2024. Despite long odds, his campaign offers lessons for Democrats, including the importance of a candidate matching the district's demographics and values, and leveraging fame. Pulido, a Latino, bilingual, gun-owning moderate from

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the area, has successfully used his celebrity to connect with voters, even performing at quinceañeras. He emphasizes economic opportunity over social issues, resonating with a conservative Latino base disillusioned by both parties' recent policies, particularly Trump's tariffs and ICE raids.

New York looks set to lower a big barrier to building

New York is poised to enact its first major reform of state environmental reviews for housing in 50 years, aiming to accelerate building projects. The current convoluted process, which can take years and invites lawsuits, adds significant costs and serves as a blocking tool for NIMBYs, despite many projects having minimal environmental impact. The proposed budget change would scrap these reviews for certain projects up to 500 units in busy city areas and 300 units in other urban areas, provided they are on previously developed land. This move, championed by Governor Kathy Hochul to

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combat a housing crisis and population decline, aligns with a broader trend among Democratic states to ease building restrictions and promote growth.

America's new counter-terrorism strategy is a partisan polemic

America's new counter-terrorism strategy, spearheaded by Sebastian Gorka, is criticized as a short, detail-light partisan polemic rather than a comprehensive policy. The document prioritizes narco-terrorists, transnational gangs, and Islamist terrorists, but notably omits threats from the Iran war or right-wing extremists. It boasts of increased strikes and loosening rules of engagement, particularly in Somalia, and scolds Europe for "open borders." Critics argue it weaponizes counter-terrorism for ideological purposes, diverting resources from actual terrorist organizations and making America less safe due to its selective focus and politically motivated omissions.

Asylum in America is all but over. It may

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never come back

Donald Trump's administration has effectively ended asylum at America's southern border through muscular, multifaceted restrictions, fulfilling a long-standing campaign promise. His strategy involves building a wall, hiring more Border Patrol agents, and showy detentions and deportations, but the core is the legal restriction of asylum claims currently being litigated. The Supreme Court is considering cases that could uphold practices like "metering" migrants at the border and the president's authority to "suspend the entry of all aliens." Even if courts challenge these measures, the immigration court system, now filled with judges aligned with Trump, has approved only 5% of asylum applications in March, down from 31% when he took office.

What Donald Trump could learn from the UFC

Donald Trump plans to host a UFC event at the White

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House, a spectacle criticized by some, but the article argues it is the UFC's image, not the White House's, that is at risk. While Trump shows resilience, he lacks the UFC's champions' qualities of standing for fairness and not bullying weaker opponents. He has shown willingness to back down when faced with equal adversaries (like China or Iran) and has a record of disregarding rules and using abusive language, mirroring UFC violations. Despite UFC's past efforts to clean up its image and codes of conduct against hate speech, the league's leadership has embraced Trump's transgressive politics.

ESSAY

The cold war, Vietnam and a fractured America

No significant coverage this issue.

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The architects of the Vietnam War knew it was doomed

Contrary to popular belief that American architects of the Vietnam War were driven by hubris and ignorance, historical evidence suggests figures like Robert McNamara, John F. Kennedy, and Lyndon B. Johnson harbored private misgivings about the conflict's winnability and value. Despite public affirmations of confidence, internal records reveal deep doubts among senior officials throughout the escalation. Kennedy expressed skepticism about military solutions, and Johnson, who ordered the "Americanization" of the war, questioned its importance and chances of success, lamenting the lack of "daylight in Vietnam." The decision to escalate the war was often a path of least immediate resistance, driven by concerns about national and political credibility rather than a firm belief in victory, ultimately leading to a prolonged and devastating conflict that America finally exited in 1973 under Richard Nixon.

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THE AMERICAS

A bombshell leak threatens Flávio Bolsonaro's election bid

A bombshell leak of messages between Brazilian presidential candidate Flávio Bolsonaro and disgraced banker Daniel Vorcaro revealed their close connection and payments for a film about Bolsonaro's father, Jair. This contradicts Bolsonaro's earlier denials and has significantly damaged his election prospects, causing his support to plummet in betting markets and the Brazilian real to fall. Vorcaro, arrested for a massive bank fraud and influence-peddling scheme, had cultivated ties with politicians by hosting lavish parties. The scandal has intensified public concern over corruption in Brazil, further complicated by President Lula's recent friendly meeting with Donald Trump, which unsettles the Bolsonaro clan.

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Why measles is returning to the Americas

Measles, once eliminated from the Americas in 2016, is making a deadly comeback, with the current outbreak set to surpass previous ones. Starting from a wedding in Canada and spreading through Mennonite communities, it has reached general populations in Mexico and Guatemala due to falling vaccination coverage. Latin America's childhood vaccination rates have plummeted from among the highest globally to among the lowest, worsened by COVID-19's impact on healthcare and budget cuts by populist leaders. Efforts are underway to combat the spread, including emergency immunization drives in Mexico and public education in Guatemala, but constant virus importation and persistent vaccine hesitancy pose ongoing challenges.

Guatemala, once Latin America's rule-of-law beacon, has new hope

Guatemala, once a beacon for anti-corruption efforts in

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Latin America, is seeing renewed hope with the departure of Attorney-General María Consuelo Porras, who dismantled many corruption cases and persecuted judges and journalists. A decade ago, a UN-backed commission had successfully imprisoned powerful figures, including a former president, making Guatemala a rule-of-law poster child. However, Porras's tenure, marked by accusations of political persecution and US sanctions, reversed this progress, turning legal instruments against anti-graft fighters. The new Attorney-General, Gabriel García Luna, takes office with promises to restore public confidence, but faces the challenge of entrenched allies of Porras and widespread skepticism about addressing high-profile corruption cases.

ASIA

The Gulf war will change Asia for good

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The war in Iran has caused a worsening energy shock across Asia, prompting governments to urge fuel conservation and seek alternative supplies, which could have long-term consequences. Fuel prices have soared in some countries like Pakistan and the Philippines, while others like Indonesia and Vietnam face dwindling supplies and blackouts. Agriculture is particularly hard hit by rising fertilizer and diesel costs, threatening food security as farmers scale back planting. Manufacturing output is also down due to higher input costs. Governments are struggling to maintain fuel price caps, facing the risk of widespread social unrest if prices rise, and are now exploring regional energy cooperation and investments in renewables.

Meet Anno Takahiro, founder of Japan's hottest political party

Anno Takahiro, a software engineer and sci-fi writer, has founded Team Future (Mirai), a techno-optimist political party rapidly gaining influence in Japan. Mirai, which

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recently won 11 seats in the lower house, aims to apply an engineering mindset to government and use AI to address Japan's demographic challenges, advocating for automation and a "new form of democracy." Mr. Anno's party utilizes AI tools and social media for "broad listening" to gather citizen input at unprecedented speed. Mirai's blend of future-oriented optimism and pragmatic technocracy, appealing to younger urban professionals, positions it as a significant new force in Japanese politics, though its ability to deliver results and expand its base beyond its current niche remains to be seen.

India's legendary hill towns are sinking

India's famous Himalayan hill towns, like Shimla, are sinking due to rampant, unplanned overdevelopment that has far exceeded their carrying capacity. Originally designed for smaller populations, these towns now host millions of tourists annually, leading to severe strain on infrastructure, chronic traffic jams, and structural instability in buildings clinging to steep slopes. This

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overdevelopment, exacerbated by centrally funded projects and a disregard for environmental concerns across Himalayan states, is intensifying the impact of increasingly unpredictable weather events. Conservationists and disaster preparedness experts call for tourist limits and stricter building enforcement, but government goals to triple tourism suggest these towns face a "disaster in the offing."

India's pricey private universities want to take on the Ivy League

A new crop of elite private universities in India, bankrolled by billionaires, aims to elevate Indian higher education globally by focusing on research, humanities, and interdisciplinary learning. These institutions, with annual fees far exceeding average Indian wages, are drawing inspiration from American counterparts. They are also benefiting from global trends like narrowing entry for foreign students in English-speaking countries and a slight increase in Indian academics returning

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home. However, they face significant homegrown obstacles, including onerous regulation, pressure for inclusivity without comparable endowments, and government intolerance for inconvenient research. This has led to self-censorship, with some academics being forced from posts, ultimately compromising the autonomy private universities were expected to offer.

Drama in the Philippines after the vice-president is impeached

The impeachment of Philippine Vice-President Sara Duterte on May 11th escalated into dramatic scenes in Manila, highlighting a fierce clash between the country's two most powerful political clans. Ms. Duterte, daughter of former strongman Rodrigo Duterte, is facing charges of corruption and misuse of public funds, among others. Her conviction in the Senate, which requires a two-thirds majority, would prevent her from running for president in 2028. The political maneuvering includes a sudden change in Senate leadership and attempts by pro-Duterte

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allies to protect figures like Senator Ronald "Bato" dela Rosa, who is wanted by the ICC. This volatile situation underscores a fundamental divide over the country's future leadership: between Ms. Duterte's dynastic politics of violence and revenge, and President Marcos's vision of redeeming his family's legacy through the rule of law.

CHINA

Trade or Taiwan? Trump and Xi struggle to set the terms

Donald Trump and Xi Jinping held a summit in Beijing, focusing on trade, Taiwan, and AI, with elaborate choreography aimed at projecting authority and civility amidst deep structural differences. The leaders sought to extend a trade truce, with expected deals for China to buy more American goods and potentially Nvidia chips.

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However, significant tensions remain on Taiwan, with Mr. Xi warning against mishandling the issue and Mr. Trump's comments on arms sales alarming Taipei. Common ground on the wars in Ukraine and the Middle East appears limited, and while a dialogue on AI security risks is sought, strategic mistrust hampers meaningful cooperation.

China's tea brands want to conquer America, Starbucks-style

Chinese tea chains like Chagee, HeyTea, and Mixue are aggressively expanding into the American market, aiming to replicate Starbucks' success with coffee by promoting bubble tea, fruit tea, and fresh Chinese tea. Despite their small current presence compared to established Taiwanese rivals, these firms are driven by an oversaturated domestic market and see "vast substitution potential" in America's coffee-centric culture. Their low-sugar options are appealing to some consumers as a healthier alternative to desserts, and the

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presence of these brands fosters cultural exchange.

Can a Chinese EV-maker reinvent itself as a robot firm?

Xpeng, a Chinese electric vehicle (EV) maker, is aiming to reinvent itself as a robot and flying car company, following its successful disruption of the EV market. CEO He Xiaopeng believes in seizing trends early, similar to his past success with EVs, which led Volkswagen to invest in Xpeng's AI technology. However, this transition faces significant challenges: surviving the "bloodbath" in China's EV market, overcoming substantial technical hurdles in balancing and safety for humanoids, and clearing commercial and regulatory obstacles for flying cars and robots.

China knows that governing new tech can be harder than inventing it

China is grappling with the "Collingridge dilemma" in

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regulating new technologies, aiming for both "inclusiveness and prudence" but struggling to achieve both simultaneously. While China has seen rapid deployment of autonomous vehicles and drones, concerns about job displacement and technical glitches are leading to regulatory brakes. Historically, prudence often triumphs, with past crackdowns on cryptocurrencies and internet giants. The government is now showing a conservative streak in AI, ruling against replacing employees with AI and requiring human oversight for AI agents, reflecting a cautious approach to prevent social disruption despite ambitions for technological leadership.

MIDDLE EAST & AFRICA

A Congolese militia wants to sell critical minerals to Donald Trump

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M23, a Congolese rebel group controlling parts of eastern Congo, is attempting to secure a deal with America to sell rare earths and 3T metals from its territory. The militia, backed by Rwanda, has established a parallel administration in the Kivus and is openly soliciting business from America. This bold move comes amidst increased US engagement with Congo, including sanctions on Rwanda and former Congolese President Joseph Kabila, which M23 sees as the Trump administration siding against them. The conflict, a complex civil and proxy war fueled by mineral resources, risks turning the Kivus into a state within a state if a comprehensive political solution isn't found.

Macron turns to English-speaking Africa

French President Emmanuel Macron is pivoting France's Africa policy towards English-speaking nations, seeking to shed colonial baggage and focus on business partnerships. His recent trip to Kenya, the first Africa summit in an Anglophone country, saw over \$1bn in

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bilateral deals signed, emphasizing a "partnership of equals." This shift follows setbacks in Francophone Africa, where France's counter-terrorism operations faced backlash and hostile regimes turned to Russia. While Mr. Macron aims to foster economic ties and improve France's image, the departure from the Sahel and his impending constitutional term limit mean his successor might reverse this new direction.

Gulf states fear irreversible fallout from the Iran crisis

Gulf states are experiencing severe economic disruption due to the ongoing closure of the Strait of Hormuz, caused by the Iran war and a stalled ceasefire. While initially confident in weathering the crisis, a prolonged stalemate threatens lasting damage to their oil and gas industry, which accounts for a significant portion of their GDP and exports. Oil and gas exports have plummeted, and the travel and tourism sector is struggling, with hotel occupancy in Dubai down to 10%. Despite efforts to

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project normality and support economies with billions of dollars, concerns are mounting that if a deal isn't reached by the end of summer, the temporary downturn could become a much more serious, irreversible economic crisis for the region.

Bashar al-Assad's henchmen start to go on trial in Syria

Atef Najib, a former security chief under Bashar al-Assad, is on trial in Damascus for murder and torture, marking Syria's first trial of Assad-era officials since the dictator's overthrow in 2024. This trial is seen as an attempt by the new government to provide swift justice and stem sectarian violence, as initial transitional justice efforts have been criticized as lacking. However, some observers worry the process is too rushed and lacks a robust legal framework, as Syria's justice system was ruined by decades of Assad's rule. Convicting figures like Najib will be challenging given the absence of laws for crimes against humanity, and the trials' legitimacy is

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questioned due to their selective nature and potential political motivations.

EUROPE

Russia is stumbling on the battlefield

Russia's Victory Day parade in Moscow was significantly diminished, lacking tanks and military vehicles, symbolizing Russia's vulnerability and battlefield setbacks in Ukraine. For the first time in nearly three years, Ukraine appears to be turning the tide, imposing increasing costs on Russia through ground counter-attacks and effective long-range drone strikes. Russia has suffered a net loss of territory and mounting casualties, with a high dead-to-wounded ratio attributed to Ukraine's autonomous FPV drones that imperil medical evacuations. Ukrainian deep-strike operations are hitting economic and military targets deep inside

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Russia, causing psychological damage and forcing production cuts.

Peter Magyar takes office pledging to clean up Hungary's mess

Peter Magyar was sworn in as Hungary's prime minister on Europe Day, pledging to implement a "system change" after 16 years of Viktor Orban's illiberal rule, with a key priority being to repair Hungary's relationship with the EU and unblock \$18bn in frozen funds. He announced plans for an anti-corruption program, judicial independence reforms, and joining the European Public Prosecutor's Office. Magyar has assembled a large cabinet of experienced outsiders, but faced initial criticism for attempting to nominate his brother-in-law as justice minister, highlighting Hungarians' aversion to cronyism after Orban's rule.

Armenia's election will test its leader's pivot to the West

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Armenian Prime Minister Nikol Pashinyan, let down by traditional patron Russia, is pivoting to the West and seeking a peace treaty with Azerbaijan, a strategy to be tested in the upcoming general election on June 7th. Europe has offered Armenia substantial infrastructure funding and the prospect of EU membership. Despite nationalist opposition and resentment over past military defeats, Pashinyan's Civil Contract party is likely to win, particularly with support from rural areas benefiting from government investments. However, the Kremlin might meddle through economic means, as Russia maintains significant influence and ownership of vital infrastructure in Armenia.

The world's best-sounding nightclub is in an unexpected place

Open Ground, a nightclub in Wuppertal, Germany, has rapidly gained a reputation as one of the world's best-sounding venues since opening in late 2023. Housed in a reconstructed wartime bunker, its founders, veterans

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of the Berlin music scene, recruited acousticians and used custom-made speaker technology to create an unparalleled auditory experience. This eclectic approach to genre and exceptional sound quality is attracting top DJs and drawing younger enthusiasts to Wuppertal, subtly putting the industrial town on the map amidst a broader trend of "club death" across Germany.

To understand European voters? anger, look at their rent bills

European cities are facing severe housing shortages, leading to soaring rents and house prices that are fueling voter anger and the rise of the populist right. Despite varied housing markets across the continent, the mismatch between supply and demand is acute, with countries like Spain, Germany, and France building significantly fewer homes than needed. Policymakers are turning to rent controls, but these measures often have perverse consequences, reducing new rental contracts and leading landlords to sell, thus shrinking supply. The

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imperative is to build more homes, but this is hampered by administrative bottlenecks, labor shortages, and rising material costs, with some governments only just beginning to invest in industrial production of housing modules.

Socialism is being left behind in Europe

Europe's center-left parties, once dominant, have seen a drastic decline in power, now leading governments in only three of the EU's 27 nations. This "socialist-free zone" trend is attributed to the disappearance of traditional blue-collar bases and political fragmentation, with votes being siphoned off by Greens, hard-left parties, centrists, and populist-right movements. Despite past achievements in securing social rights, socialists struggle to connect with modern workers concerned about AI and stagnant wages. While the center-right has adapted to changing times, the left's inability to evolve has left it marginalized, raising questions about its future relevance in European politics.

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The EU and China are stumbling into a trade war

The European Union and China are increasingly likely to engage in a trade war, despite complacency on both sides. China's growing trade surplus with the EU, driven by surging exports and slumping European sales, is unsustainable, and European leaders warn of protectionist measures if China doesn't rebalance its economy. Chinese officials, however, dismiss Europe as lacking geopolitical leverage and pragmatic, while praising national governments that attract Chinese investment. Brussels is preparing stronger trade defenses, including safeguard measures and the "Industrial Accelerator Act," which aims to compel foreign investors to hire Europeans and transfer technology.

BRITAIN

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Who can save the Labour Party?

Britain's Labour Party suffered a severe defeat in recent local and devolved elections, leading to nearly 100 MPs calling for Sir Keir Starmer's resignation, despite his expected leadership into the next election. The drubbing, particularly in historical heartlands, saw voters abandon Labour for the populist-left Green Party and the populist-right Reform UK. Reform UK gained significantly, challenging both Labour and the Conservatives, while the Green Party also made substantial gains in urban areas. While the results paint a bleak picture, there's optimism that a clear-eyed focus on Labour's actual base—young, educated, Remain-voting individuals—and competent governance on issues like housing and tax reform could make the party competitive in Britain's fragmented political system.

How Tommy Robinson, far-right influencer, shaped views on Britain

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Tommy Robinson, a far-right influencer, has leveraged American backing and social media to disseminate a distorted vision of Britain as overrun by "Islamic invaders" and silenced by a "woke liberal elite." Despite being shunned by mainstream politicians and having a negative public image, Robinson commands significant name recognition and the ability to mobilize supporters, with a substantial portion of Britons agreeing with some of his core ideas. His rise is fueled by the fracturing MAGA media ecosystem, his rebranding as a "free-speech martyr," and the deep distrust in government and traditional media in Britain. This has created fertile ground for his narrative to influence mainstream politics, as seen in the adoption of his language and concerns by figures like Nigel Farage and former Tory minister Robert Jenrick.

Anatomy of a coup against Keir

Nearly 100 Labour MPs are moving to oust Sir Keir Starmer, with the party's rule book detailing the process

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for triggering a leadership election. A challenger needs nominations from 81 MPs, and if an election is triggered, the fewer than 250,000 Labour members would pick the next leader. These members are disproportionately male, old, middle-class, and eye-wateringly left-wing, making Andy Burnham, the Mayor of Greater Manchester, a likely frontrunner despite not being an MP. This internal contest could put the choice of the next prime minister in the hands of an unrepresentative, left-wing body, intensifying calls for a general election.

Bond-market lessons for Labour's leadership hopefuls

Labour's leadership hopefuls face a challenge from the gilt market, which has reacted to political uncertainty and economic fragility by driving up borrowing costs. Britain's bond yields are the highest in the G7, exacerbated by sticky inflation, reliance on gas imports, and previous governments' poor fiscal choices. The market has become particularly sensitive due to a

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shifting investor base and the Bank of England's quantitative tightening. While some Labour politicians resent the market's influence, fiscal credibility is crucial; any suggestions of increased borrowing could further alarm investors and escalate debt-servicing costs, forcing fiscal prudence on the next prime minister.

Labour has turned into the Conservative Party

The article argues that Sir Keir Starmer's Labour government, initially elected as the antithesis of the Conservatives' chaotic rule, has paradoxically morphed into resembling recent Tory governments. It cites feral MPs, self-serving party interests, and a revolving door of leaders as common traits. Labour MPs are now mirroring the Tories' habit of dumping prime ministers, with over half the House of Commons wanting Sir Keir out. The party's internal focus, driven by the need to appeal to a small, unrepresentative membership to pick the next prime minister, prioritizes party interest over national

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governance. This "sticking-plaster politics" and failure to deliver stability is leading voters to exact the same price Labour saw the Conservatives pay for not delivering on promises.

BUSINESS

Can Mukesh Ambani pull off his biggest gamble yet?

Mukesh Ambani, the boss of India's Reliance Industries, is preparing for Jio Platforms' IPO, set to be the country's largest, as he transforms his conglomerate from oil and chemicals into a tech giant. Reliance, already a dominant force in telecoms and retail, is now making massive investments in artificial intelligence infrastructure and software, aiming to make AI cheap and accessible for India. Ambani's strategy involves lavish spending on infrastructure, subsidizing costs to acquire customers,

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and enduring initial losses. However, the current oil price surge poses a challenge to Reliance's core refining business, and the conglomerate's ability to transition beyond infrastructure provision to attract top AI talent and ensure seamless succession after Ambani's retirement remains an open question.

America faces another grocery-price shock

Americans are facing another grocery-price shock, with tomato prices significantly higher, reminiscent of past egg price surges. This rise is partly due to a 17% levy on Mexican tomatoes and, more broadly, to the Iran war's impact on fertilizer and fuel costs. The energy shock will affect the food supply chain unevenly: farmers, facing increased input costs for fertilizer and diesel, may see losses this season, but crop supply might not change immediately. Processors are less likely to raise prices due to past increases and reliance on electricity/natural gas. The biggest pressure will come from packaging (plastic made from oil) and transport (heavy reliance on

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diesel for lorries), leading to rising grocery bills.

The war between businesses and hackers enters a perilous new phase

The war between businesses and hackers is entering a perilous new phase with the advent of highly capable AI models like Anthropic's Mythos Preview and OpenAI's 5.5-Cyber, enabling asymmetric attacks. Hackers are already using earlier AI versions to intrude faster and more frequently, with AI-enhanced attacks rising significantly. The rise of autonomous AI agents further increases attack surface, while security flaws (CVEs) are surging, outpacing the ability to patch them. Cyber-security firms are scrambling to prepare, forming alliances and developing "harnesses" to make AI models more effective defenders. While AI is arming attackers, it's also aiding defenders, with some critical infrastructure firms gaining early access to advanced models to test their systems.

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Samsung has staged a stunning comeback

Samsung Electronics has staged a stunning comeback, with its market value soaring to \$1trn, driven by explosive profits in its chipmaking division, particularly from advanced memory chips crucial for AI. The company reported an operating profit of 57trn won in Q1 2026, more than eight times higher than the previous year, with demand for memory chips expected to outstrip supply well into next year. Samsung is expanding capacity, investing \$55bn in a new factory, and benefiting in its foundry business from TSMC's full order books and its own increased investment capacity. However, this success is creating new problems: squeezing margins in its consumer-electronics business and brewing political trouble, with proposals for a "national dividend" from chipmaking profits and union demands for profit sharing, threatening a potential multi-week strike.

The strange Japanese companies minting

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money from AI

Unlikely Japanese companies, including Ajinomoto (known for MSG) and Toto (the toilet-maker), are minting money from the AI boom by dominating niche segments of the semiconductor supply chain. Ajinomoto's Build-up Film (ABF), derived from MSG by-products, insulates AI processors, while Toto produces electrostatic chucks for etching silicon wafers. Other firms like Hoya, Sakura, and Nitto Boseki also supply critical materials and tools. This success stems from Japan's history as a semiconductor superpower in the 1980s and a corporate culture that fosters long-term technological development even without immediate demand. However, these Japanese suppliers are often slow to expand capacity in response to sudden demand spikes.

Companies are making big bucks from immigration crackdowns

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The business of immigration enforcement is booming globally, with right-wing populists and incumbent politicians spending increasing amounts on monitoring borders, tracking, detaining, and deporting migrants. In America, Congress has approved \$170bn in additional funding until 2029, benefiting large defense contractors and a wave of startups offering new technologies. Border control is transforming into a digital-surveillance network, utilizing drones, radars, and thermal cameras, many originally developed for warfare. Companies like Anduril, Shield AI, and Palantir are securing lucrative government contracts. The detention and deportation industries are also thriving, with prison operators CoreCivic and GEO Group seeing soaring profits, and airlines like GlobalX benefiting from record deportation flights.

Introducing ?Velocity pivot?

No significant coverage this issue.

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Big tech is sacrificing its cashflows to prop up the AI boom

Big tech cloud-computing firms (Amazon, Google, Meta, Microsoft, Oracle) are experiencing a striking phenomenon where their profits are rising, but their cashflow after capital spending is plummeting. This is due to an unprecedented \$800bn investment in data centers to run AI models, an expenditure that dwarfs previous tech and oil booms. These firms are increasingly relying on concentrated, long-term revenue contracts for selling computing capacity to AI model-makers, and have significantly increased their borrowing from bond markets, issuing \$260bn in debt since last year. Large off-balance-sheet obligations, such as \$820bn for future data center leases, also contribute to a complex and increasingly indebted financial picture.

FINANCE & ECONOMICS

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The jobs apocalypse: a (very) short history

Americans are increasingly pessimistic about long-term employment due to fears of AI-induced job losses, a sentiment shared by some AI company leaders despite economists' skepticism of a "lump of labor fallacy." Historically, new technologies have never caused widespread, long-term unemployment, with technological diffusion proceeding slowly. Even periods of rapid economic growth and job disruption, like the mid-20th century or the Industrial Revolution, saw overall employment rise and wage growth, with worker suffering often linked to political failures rather than machines. Economists argue that for an AI-driven jobs apocalypse to occur, it would require unprecedented sharply rising productivity combined with weak real-wage growth and massive job losses across many industries.

Is AI putting graduates out of work already?

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Despite White House reassurances, America's class of 2026 faces a grim job market, with many suspecting AI is already harming graduate job prospects, particularly in coding. Recent graduates are more likely to be unemployed than the average American, and job postings on university platforms are significantly down. Analysis of ten years of college graduate surveys indicates that graduates in AI-exposed fields like computer science have experienced a marked 6.6 percentage-point drop in full-time employment between 2022 and 2024, a trend that accelerated after ChatGPT's release. Consequently, undergraduate enrollment in computer science and programming has fallen, and the nature of work for computer-science graduates is shifting towards higher-level system design rather than just coding.

China wants more robots but not fewer workers

China is rapidly deploying autonomous vehicles and

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drones, like Neolix's 1,200 unmanned delivery vans in Qingdao, exemplifying how artificial intelligence is transforming the country. However, Chinese leaders face a dilemma: they want to lead in AI and automation but also prevent large-scale unemployment, especially among platform workers. Projects have slowed due to congestion and technical glitches, and the government has suspended new robotaxi licenses after incidents like Baidu's cabs freezing. To allay fears, major automation companies like Meituan are training delivery drivers to operate drone deliveries, aiming to repurpose human labor rather than replace it outright.

America is experiencing a productivity miracle

America is experiencing its fastest productivity growth in two decades, averaging 2% annually over the past five years, confounding previous predictions of stagnation. This "Lazarus effect" predates the widespread commercial use of large language models, suggesting AI

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is not yet the primary driver. Instead, significant jumps in productivity are seen in professional services and management, indicating these sectors are finally leveraging 2010s innovations like smartphones and cloud computing. The US energy boom, providing inexpensive and abundant electricity, and the economy's inherent flexibility and dynamism, particularly in adapting to crises like the COVID-19 pandemic, are also key factors.

How the world has avoided an oil catastrophe so far

Ten weeks into the Iran war, the oil market remains strangely calm despite the closure of the Strait of Hormuz, which has removed 14% of global output. This unexpected placidity is attributed to non-Gulf producers, notably America, turbocharging exports by 3.8m barrels per day (b/d), and major oil-buying regions, primarily China, reducing imports by 11m b/d. While some import reduction reflects demand destruction due to soaring

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refined product prices, much of it suggests buyers are deferring purchases, creating a temporary crude mini-glut. However, this calm is fragile: Chinese refineries will soon increase exports, and plummeting US motor-fuel stocks could lead to \$5/gallon petrol, prompting the Trump administration to consider an export ban.

Index rebalancing is now the biggest event in markets

Index rebalancing has become a major market event, with trillions of dollars in passive and "closet index-hugger" funds automatically tracking index decisions. While enormous firms like SpaceX and Anthropic are expected to join indices, profiting from this phenomenon by trading ahead of rebalancing is becoming increasingly difficult. This is partly because index rebalancing rewards sustained momentum, making strategies vulnerable when momentum reverses. More importantly, competition among traders has squeezed

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profits, with the average bump from S&P 500 inclusion falling significantly since 2010. Even large sovereign-wealth funds and sophisticated tracker funds now exercise discretion, blurring the lines of passive investing.

How to share the AI windfall

If artificial intelligence causes mass unemployment, governments' current tax models, heavily reliant on taxing work and consumption, may collapse, necessitating a new approach to funding. Economists suggest substantially raising consumption taxes or increasing the importance of capital taxes, particularly on super-normal rents. Proposals like "robot taxes" or "token taxes" are considered forms of capital or consumption taxes, but risk distorting the economy. A more radical option is to offer workers direct stakes in AI progress, either through share handouts or sovereign-wealth funds, which would be akin to redistributing corporate tax proceeds. This could help

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mollify displaced workers and address inequality, especially if major AI winners become publicly listed, allowing broader investment.

SCIENCE & TECHNOLOGY

Why many women cannot make enough breast milk

Many women struggle to produce enough breast milk, a problem more prevalent than the traditionally accepted 5%, with recent studies suggesting rates between 10-20%. This struggle is often due to biological factors beyond their control, not a lack of effort, a discovery that helps destigmatize low milk supply. Researchers are using microRNA molecules from breast milk as "liquid biopsies" to understand causes like too few or inefficient lactocytes, cells responsible for milk production. Discoveries include low levels of the WEE1 enzyme

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affecting lactocyte numbers, placental damage influencing milk production, and gene variants or chronic inflammation (linked to obesity/diabetes) impacting nutrient transfer and lactocyte efficiency.

Neanderthals went to the dentist (really)

New archaeological evidence from a 59,000-year-old Neanderthal molar found in Siberia suggests they performed dentistry tens of thousands of years before modern humans. The tooth displayed a large hollow with grooves and striations, indicating intentional drilling to remove infected tissue using pointed jasper tools. Experimental archaeology confirmed that similar stone tools could produce these markings in less than an hour. The patient survived the procedure and continued to chew, as evidenced by smoothed margins on the hollow, and also engaged in "tooth-picking" to relieve gum irritation. This discovery challenges the notion of Neanderthal ineptitude, demonstrating fine motor control, causal reasoning, and sophisticated medical

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understanding.

AI models are being used to predict conflict

AI models are increasingly being used to predict conflicts, with systems like RAND's Integrated Strategic Forecasting (ISF) offering predictions, such as a 20% chance of regime collapse in Iran by 2026. Data scientists are leveraging advances in machine learning and large language models, training them on past conflicts and feeding indicators like crime, public health, economy, and political developments. Satellite imagery, drone footage, and social media mining are also used to spot clues in street life and protest patterns. Models like ACLED's CAST and VIEWS from the Peace Research Institute Oslo, augmented with indicators like infant mortality, effectively predict organized political violence, especially when good data is available.

Do houseplants improve air quality?

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While often marketed as air purifiers, houseplants offer minimal improvement to indoor air quality, which can be affected by volatile organic compounds and formaldehyde from household products. Early NASA studies in sealed chambers showed plants like spider plants could remove toxins, and subsequent research revealed mechanisms such as pollutant absorption through stomata and breakdown by enzymes or soil microbes. However, common broadleaf evergreen houseplants popular in urban settings have small stomata, making them less effective. Real-world experiments with plants in ordinary rooms show no meaningful benefits, and even "living walls" provide only small improvements and are difficult to maintain.

CULTURE

Welcome to a spectacularly fraught edition of the Venice Biennale

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The 61st Venice Biennale has opened to a "spectacularly fraught" atmosphere, marked by intense political discord rather than celebration. The festival's decision to allow Russia to host an exhibition, despite its war in Ukraine, sparked a furore, leading to EU funding cuts and jury resignations. Israel's pavilion is also shut due to controversy. This year, the Biennale, normally celebrating art, reflects global turmoil, with many national pavilions focusing on their own histories. The American pavilion's un-titled and ambiguous sculptures further highlight the political complexities, leaving visitors questioning its message. Spectacle and live performance, like naked women in Austria's pavilion or baby dolls in Japan's, are popular distractions, but Ukraine's powerful sculpture of an origami deer suspended from a truck offers a poignant reflection on war.

**The weird, wild story of humanity's
obsession with gold**

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Dominic Frisby's "The Secret History of Gold" explores humanity's ancient obsession with gold, charting its influence on history from Neolithic artifacts to its enduring role in wealth and power. The book highlights gold's pervasive presence in folklore and its use by ancient rulers to establish currency standards. While the author criticizes modern "floating fiat currencies," arguing for a return to the gold standard, this stance is unsupported by serious economists. Despite the book's "goldbug" leanings, it offers compelling historical anecdotes and underscores gold's continued importance as a safe haven asset.

Jan Morris was a man, then a trans woman?but always a narcissist

Sara Wheeler's biography, "Jan Morris," delves into the complex life of the soldier, journalist, and writer, who transitioned from James Morris to Jan Morris in 1972. While celebrated for covering the first conquest of Everest and chronicling the British Empire's end, her

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gender transition ultimately eclipsed many of her other achievements. The book reveals Morris's enduring narcissism, highlighting her self-absorption even during personal tragedies and her detached view of domestic life. Despite her desire to be remembered for her literary contributions, her identity as a trans woman often dominated public perception, and her works are now less widely read.

?Companion podcasts? are the latest hit format

"Companion podcasts" have emerged as a popular new format, allowing fans to delve deeper into their favorite TV shows by offering behind-the-scenes insights from cast and crew. These podcasts satisfy audience curiosity about plotlines, filming, and production details, acting as an immersive and insightful extension to binge-watching. While unofficial "rewatch podcasts" previously filled this niche, networks like HBO are now producing official companions, recognizing their

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cost-effectiveness, ability to bolster content retention, and capacity to engage audiences beyond their viewing screens. The format thrives by tapping into audiences' "age of information" desire for deeper engagement with content.

Who wants to relax on holiday?

More tourists are eschewing traditional relaxing holidays for "darecations," seeking adrenalin-packed pursuits like canyoning and abseiling. This trend, recognized by Pinterest as a top tourism trend, reflects a desire to step out of comfort zones and engage in "immersive and memorable travel experiences." While some darecations involve extreme sports, "soft adventures" combine less strenuous activities with luxury accommodation. The wealthy are increasingly splurging on tailored, off-the-beaten-track trips, viewing adventure travel as a status symbol that offers enviable views for social media and compelling stories.

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The AI that transformed American warfare

Katrina Manson's "Project Maven" details how the Maven Smart System, an AI-powered weapon system, transformed American warfare by identifying targets and coordinating responses. Maven, developed by a team of mavericks within the Pentagon, rapidly evolved from erratic algorithms to a sophisticated tool capable of spotting Iranian missiles, rocket launchers, and assisting in high-profile operations like the killing of Abu Bakr al-Baghdadi. Its pivotal role in Ukraine involved feeding "points of interest" on an industrial scale, significantly speeding up the kill chain. However, Maven's context-specific nature and the ethical questions surrounding human control in automated warfare, especially with algorithms now embedded in weapons like "Goalkeeper" and "Whiplash," raise profound concerns about future conflicts.

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ECONOMIC & FINANCIAL INDICATORS

Economic data, commodities and markets

No significant coverage this issue.

OBITUARY

Raghu Rai's whole canvas was India

Raghu Rai, India's most famous photojournalist, had an extraordinary ability to see and capture the essence of India, viewing its landscapes and people with an unsentimental eye that connected him to his spiritual quest. His career began serendipitously after photographing a donkey, leading him to abandon civil engineering for photography. Rai documented India's intensity and energy in over 18 photo essays, renowned for his leisurely, non-intrusive style. He gained international fame for his powerful images of the

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Bangladeshi war of independence and, most notably, the Bhopal disaster, where his photograph of a child's burial became an iconic image of the tragedy. Rai used his work to hold India's government accountable, driven by a deep love for his chaotic and wondrous country.